PRINCIPLES OF MARKETING

Mid-term Exam

Student name: _____ **Mark**

Student ID: _____

INSTRUCTIONS

Students should answer each question by marking an (X) in one of the four options, A, B, C, or D, in the answer table provided below. ***ONLY ANSWERS MARKED IN THIS TABLE WILL BE GRADED.*** *There is no penalty for incorrect answers.*

	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
A															
B															
C															
D															

	16	17	18	19	20	21	22	23	24	25	26	27	28	29	30
A															
B															
C															
D															

QUESTIONS:

1. A young professional stops buying a brand that was strongly associated with her teenage years because she now wants products that better reflect her professional identity. This change is MOST directly related to:
   A. culture only. B. age and life-cycle influences.
   C. selective attention. D. family decision roles.

2. A sharp increase in national interest rates causes consumers to postpone purchasing houses, cars, and other expensive products. This represents a change primarily in the:
   A. technological environment. B. political environment.
   C. economic environment. D. demographic environment.

3. A technology company continuously adds more functions, higher processing speed, and increasingly sophisticated specifications to its products. However, customer research shows that many buyers find the products too complicated to use. This is MOST characteristic of:
   A. product orientation. B. societal marketing orientation.
   C. selling orientation. D. production orientation.

4. A researcher wants to understand how consumers describe their emotional experiences with luxury hotels in their own words. Which method would generally be MOST suitable in the exploratory stage?
   A. Census B. In-depth interviews
   C. Laboratory experiment D. Large-scale structured survey

5. A company asks: “Why have sales among customers aged 18–25 fallen during the last six months?” What should researchers normally do FIRST?
   A. Define the research problem and objectives. B. Determine the final sample size.
   C. Design the questionnaire. D. Select the statistical test.

6. A researcher randomly selects three universities from a list of 20 universities and then surveys all final-year students in those three selected universities. This is BEST described as:
   A. cluster sampling. B. simple random sampling.
   C. convenience sampling. D. stratified sampling.

7. An expert researcher deliberately selects 20 experienced luxury travellers because they are considered especially knowledgeable about five-star hotel services. This is:
   A. systematic sampling. B. judgement sampling.
   C. cluster sampling. D. simple random sampling.

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8. A loyal customer strongly believes that Brand X produces superior smartphones. When she reads a mixed review comparing Brand X with a competitor, she interprets ambiguous comments as supporting Brand X. This BEST demonstrates:
A. stimulus generalisation.
B. variety-seeking behaviour.
C. selective attention.
D. selective distortion.

9. A company producing petrol-powered vehicles faces growing consumer concern about climate change, stricter emissions standards, and rapid improvements in battery technology. Which statement is MOST accurate?
A. These changes are internal company factors because management can respond strategically.
B. Only technological change is relevant because environmental concerns do not affect marketing.
C. The changes involve natural, political-legal, and technological macroenvironmental forces.
D. All three changes belong to the company's microenvironment.

10. A smartphone manufacturer closely observes Samsung, Apple, Xiaomi, component suppliers, mobile network operators, and major electronics retailers. Which entity does NOT belong to the firm's microenvironment?
A. Samsung
B. Electronics retailers
C. Component suppliers
D. National inflation

11. A customer buys a laptop for $1,000. Another model costs only $800, but the customer chooses the more expensive laptop because it is lighter, more reliable, and offers better after-sales service. This decision BEST illustrates:
A. production efficiency.
B. customer-perceived value.
C. market demand.
D. exchange parity.

12. The main purpose of a Marketing Information System (MIS) is to:
A. collect only external market information.
B. replace managers' judgement with statistical models.
C. continuously collect, analyse, distribute, and manage relevant marketing information for decision making.
D. conduct surveys whenever managers request them.

13. Managers regularly examine competitors' websites, industry reports, social media discussions, distributors' feedback, and public announcements. This activity is BEST classified as:
A. internal accounting.
B. Causal research.
C. laboratory experimentation.
D. marketing intelligence.

14. A researcher wants a sample containing exactly 50% men and 50% women. Interviewers approach conveniently available people until each category is filled, without randomly selecting respondents. This is:
A. stratified random sampling.
B. systematic sampling.
C. cluster sampling.
D. quota sampling.

15. A supermarket continuously records daily sales by product, store, time, and customer loyalty-card account. These data are primarily part of:
A. ethnographic research.
B. marketing intelligence.
C. experimental research.
D. internal databases.

16. A teenager starts buying a particular sneaker brand because most members of her friendship group wear it and she wants to fit in. The strongest influence is:
A. perception.
B. demographic.
C. learning through classical conditioning.
D. reference group influence.

17. What is the main problem with the question below? "How satisfied are you with the price and quality of this product?"
A. It is double-barrelled.
B. It is an open-ended question.
C. It measures demographic characteristics.
D. It uses technical terminology.

18. A consumer sees hundreds of advertisements every day but notices mainly advertisements for running shoes after deciding to train for a marathon. This BEST illustrates:
A. selective attention.
B. selective retention.
C. cognitive dissonance.
D. selective distortion.

19. Which decision MOST clearly reflects a societal marketing orientation?
A. Reducing packaging costs regardless of environmental consequences
B. Designing profitable products that satisfy consumers while reducing long-term environmental harm
C. Offering discounts whenever competitors reduce their prices
D. Increasing product variety to improve market share

20. A university has five faculties. A researcher first divides students by faculty and then randomly selects students from every faculty, in proportion to faculty size. This is:
A. systematic sampling.
B. quota sampling.
C. stratified random sampling.
D. cluster sampling.

21. A company wants to estimate the percentage of its customers who are satisfied with its delivery service. Which research approach is MOST appropriate?
A. Ethnographic observation only
B. Causal experimental research
C. Descriptive quantitative research
D. Exploratory qualitative research

22. A university has a complete list of 2,000 students. A researcher uses a random-number generator to select 200 students from the list. This is:
A. systematic sampling.
B. simple random sampling.
C. convenience sampling.
D. quota sampling.

23. Which of the following is part of a company's microenvironment?
A. Technological development
B. Population ageing
C. Marketing intermediaries
D. Inflation

24. Which is the MOST important limitation of secondary data?
A. Secondary data cannot be numerical.
B. They may have been collected for a different purpose and may not precisely fit the current research problem.
C. Secondary data are always less accurate than primary data.
D. They are always more expensive to obtain than primary data.

25. Which survey question is MOST problematic?
A. How satisfied are you with our cheap and excellent delivery service?
B. How many times have you purchased from our store during the past month?
C. Which delivery service did you use most recently?
D. Overall, how satisfied are you with our delivery service?

26. Consumer behaviour is MOST accurately understood as the study of:
A. how individuals and groups select, buy, use, and dispose of products, services, ideas, or experiences to satisfy needs and wants.
B. psychological processes occurring only after a purchase.
C. how firms persuade people to purchase products.
D. how consumers calculate prices before making purchases.

27. A factory invests heavily in automation to make basic household appliances cheaper and more widely available. Management believes consumers mainly prefer products that are affordable and easy to obtain. Which orientation is dominant?
A. Production orientation
B. Product orientation
C. Selling orientation
D. Societal marketing orientation

28. Marketing exchange occurs when:
A. a business charges the same price as its competitors.
B. a company produces goods that customers need.
C. two parties give something of value to each other to obtain something they want.
D. a seller successfully persuades a customer to purchase something.

29. The proportion of people aged over 65 increases substantially over ten years. Pharmaceutical firms, travel companies, and financial service providers begin redesigning products for older consumers. Which environmental force is driving these changes?
A. Political
B. Demographic
C. Cultural
D. Economic

30. A university student needs transportation to campus, wants to own a Tesla, but can currently afford only a used motorcycle. Which statement is most accurate?
A. Transportation, the Tesla, and the motorcycle are all needs because they serve the same purpose.
B. Transportation is demand, the Tesla is a need, and the motorcycle is a want.
C. Transportation is a want, the Tesla is a need, and the motorcycle is demand.
D. Transportation is a need, the Tesla is a want, and the affordable motorcycle represents potential demand.

Good luck! Please submit the entire exam paper together with your answer sheet.

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